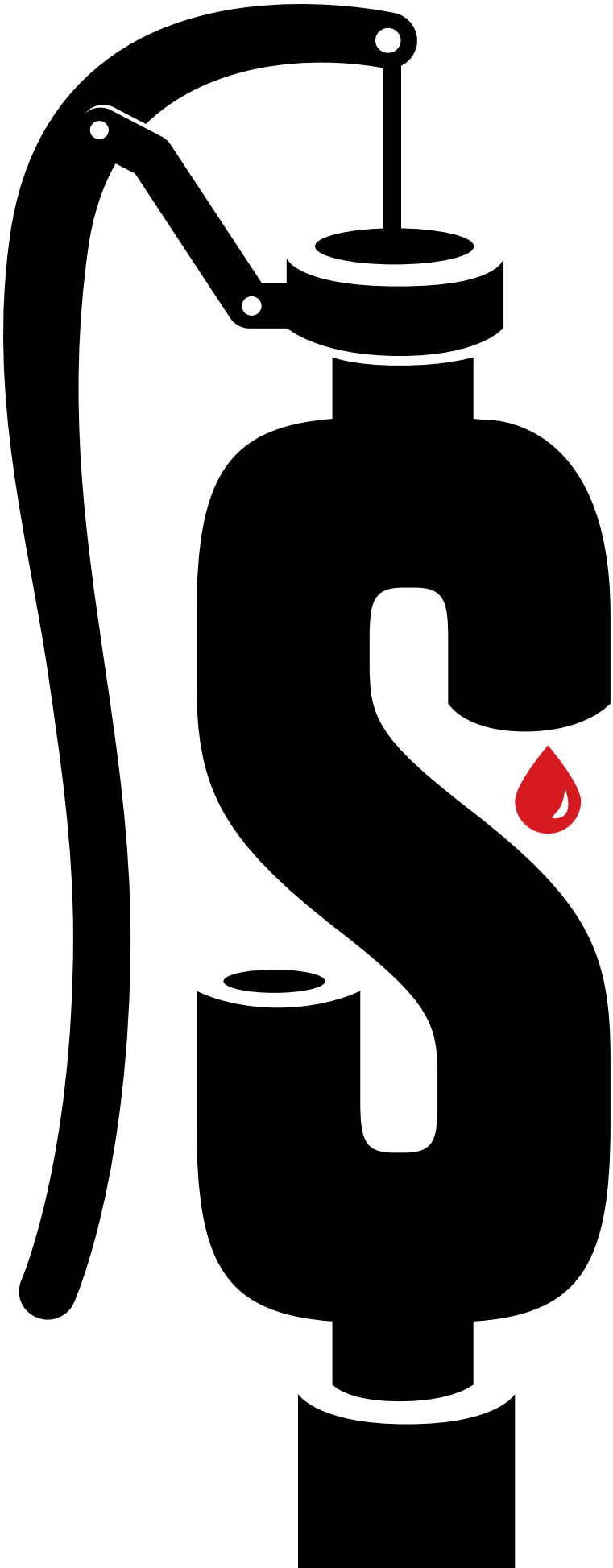




"What is holding investors back? FDI flow should be better where economic activities are good and robust and dynamic... there is potential for much more. The policies are working. Reforms are still happening"

NIRMALA SITHARAMAN, *Union finance minister*

finance minister Nirmala Sitharaman expressed frustration at the slowing FDI at a recent event in Washington, asking, "What is holding the investors back?" She went on to add that going by textbook assumptions, the flow of FDI should be better "where economic activities are good and robust and dynamic". It is not that nothing is coming into India, but there is potential for much more, she added. "The policies are working. Reforms are still happening, and will continue to happen. Greater liberalisation of the economy will be there," she said.

For 2023-24, Mauritius at 25 per cent, Singapore at 23 per cent, the US at 9 per cent, the Netherlands at 7 per cent and Japan at 6 per cent were the top five countries for inflows of FDI equity into India. The top five sectors receiving the highest inflow of FDI equity during the period were the services sector at 16 per cent, computer software and hardware at 15 per cent, trading at 6 per cent, telecommunications at 6 per cent and automobiles at 5 per cent. Among the states, Maharashtra received the highest FDI inflow at 30 per cent, followed by Karnataka, which got 22 per cent, Gujarat at 17 per cent, Delhi at 13 per cent, and Tamil Nadu at 5 per cent.